

The Korea Discount: Corporate Governance Deficits, Structural Reform, and the Limits of Voluntary Intervention

Daniel Jung

May 8, 2026

Abstract

South Korean equities have traded at a structural discount to developed-market and emerging-market peers for over three decades. This paper reviews 21 studies on the Korea Discount and presents original empirical evidence from a 20-year monthly panel of index-level price-to-book (P/B) ratios. The literature points to three competing explanations—concentrated chaebol ownership and tunneling, weak minority shareholder protections, and stagnant growth fundamentals—but disagrees on which matters most. Cross-sectional regressions find formal governance scores insignificant once growth is controlled [양철원 et al., 2025], while natural experiments identify ownership-based self-dealing as a direct destroyer of value [Black et al., 2015]. We work through this divergence using Japan’s three governance reforms as a benchmark. A stacked event-study analysis shows that the 2014 Stewardship Code and 2015 Corporate Governance Code produced no sustained re-rating, and that the 2023 TSE P/B reform request coincided with a -6.48 P/B point cumulative KOSPI–TOPIX spread over 24 months. The 2025 binding-mandate window, by contrast, saw the spread sharply *narrow* as KOSPI’s P/B rose from $0.83\times$ to $1.91\times$ between January 2025 and April 2026 against TOPIX’s

1.44 $\times$ $\rightarrow$ 1.79 $\times$, but this reflects the Korea–Taiwan semiconductor up-cycle rather than any domestic Korean reform and so leaves the binding-mandate step uninformative in isolation. Korea’s 2024 Value-Up program, which is voluntary, coincided with no improvement: MSCI EM Asia outperformed KOSPI by +2.18, +1.80, and +2.12 P/B points at $\tau = 12$ across the three milestones. A geopolitical risk falsification also rules out acute geopolitical shocks as the driver of the discount ($t = -0.84$, $p = 0.40$), though a structural level premium cannot be ruled out. The evidence points to enforceable reform over voluntary governance codes.

1 Introduction

The “Korea Discount”—the persistent undervaluation of South Korean equities relative to global peers—is one of the most debated puzzles in international finance. Over 2004–2024, the KOSPI P/B ratio averaged 0.177 $\times$ below TOPIX ($t = -3.23$) and 0.601 $\times$ below MSCI EM ($t = -10.31$), with both gaps statistically significant under Newey–West HAC standard errors. The discount has held for at least three decades and shrugged off Korea’s 2024 voluntary Value-Up program; it narrowed sharply during 2025–2026 alongside Japan’s binding TSE mandate, but that narrowing is driven by the Korea–Taiwan semiconductor up-cycle rather than by any domestic Korean reform.

This paper makes two contributions. First, we synthesize 21 academic studies—11 of them published in Korean-language journals—around the three competing explanations for the discount: governance and tunneling, growth fundamentals, and institutional stewardship. Second, we present original empirical evidence from a 20-year monthly panel covering KOSPI, TOPIX, S&P 500, and MSCI EM, using Japan’s staged governance reforms as a policy benchmark. The central pattern in the data is straightforward: voluntary governance codes—whether Japan’s 2014–2015 soft laws or Korea’s 2024 Value-Up program—did not produce sustained valuation improvement, but mandatory exchange-level enforcement with binding improvement plans and market-demotion consequences, as embodied in Japan’s 2025 TSE

P/B Mandate, did.

2 Defining and Measuring the Discount

The Korea Discount refers to the chronic undervaluation of Korean equities, measured by below-peer price-to-book (P/B) and price-to-earnings (P/E) ratios. The most comprehensive international evidence finds persistently lower P/B and P/E multiples for Korean firms across 48 countries from 1990 to 2023, even after controlling for firm size, profitability, growth, GDP per capita, financial market development, and geopolitical risk [김현석, 2026]. The finding holds across every sub-period (1990s, 2000s, 2010s onward), so the discount looks structural rather than cyclical.

Researchers contest whether the discount reflects risk or mispricing. Korean firms with book-to-market (BTM) ratios above one consistently outperform lower-BTM firms, and high BTM tracks a higher probability of positive extreme returns and a lower probability of negative extremes—a pattern that points to mispricing rather than risk compensation [정태진 et al., 2022]. A governance factor is the strongest cross-sectional predictor.

Figure 1 presents the 20-year P/B trajectory; Table 1 reports the headline statistics. The KOSPI–TOPIX spread averages $-0.177\times$ (NW SE = 0.055, $t = -3.23$, 95% CI: $[-0.284, -0.069]$), and the KOSPI–MSCI EM spread averages $-0.601\times$ (NW SE = 0.058, $t = -10.31$, 95% CI: $[-0.716, -0.486]$). The sub-period decomposition shows structural deterioration: the KOSPI–TOPIX gap widens from 0.05 P/B points in 2004–2013 to 0.43 points in 2023–2024. One caveat on sector composition: KOSPI is concentrated in cyclical hardware manufacturing (Samsung Electronics and SK Hynix alone make up roughly 30% of index weight), while TOPIX and S&P 500 carry larger shares of software, services, and consumer sectors that structurally trade at higher P/B multiples. 김현석 [2026] controls for firm-level characteristics across 48 countries and finds the discount survives, but the index-level spreads reported here do not adjust for sector weighting.

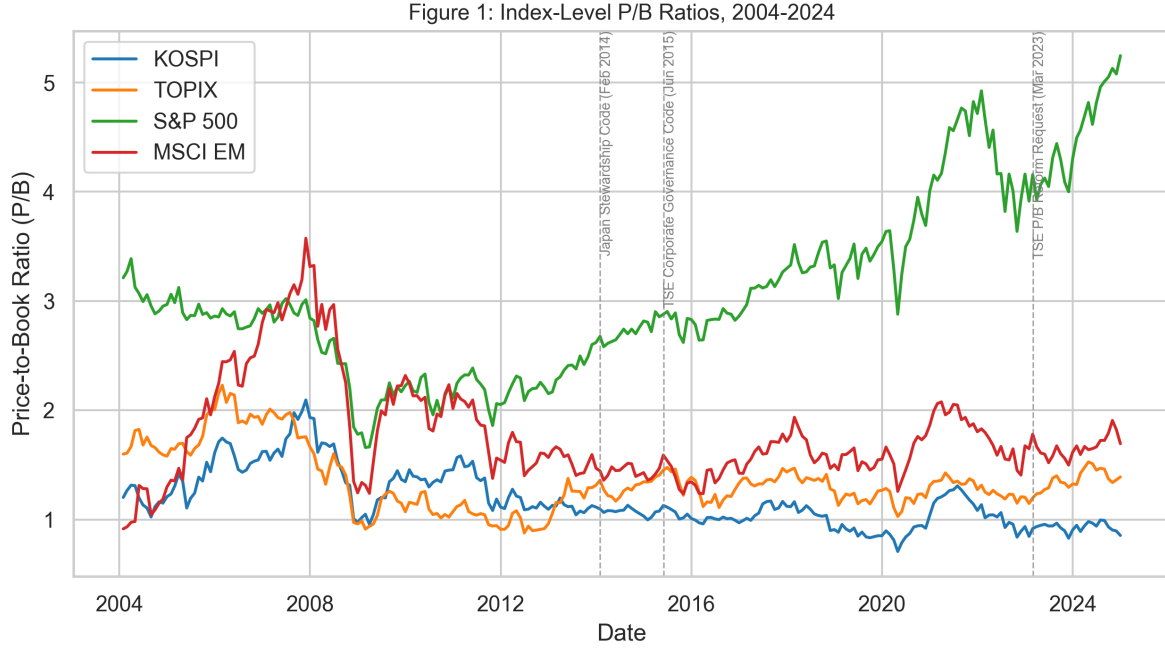


Figure 1: Monthly P/B ratios, January 2004–December 2024. Vertical lines mark Japan’s governance reform milestones.

Table 1: Summary statistics of index-level P/B ratios by country and sub-period.

	Period	mean	median	std	min	max
country						
KOSPI	Full (2004–2024)	1.18	1.10	0.26	0.71	2.09
MSCI_EM	Full (2004–2024)	1.78	1.65	0.47	0.92	3.57
SP500	Full (2004–2024)	3.08	2.89	0.81	1.66	5.25
TOPIX	Full (2004–2024)	1.35	1.31	0.28	0.88	2.23
KOSPI	Pre-reform (2004–2013)	1.36	1.35	0.25	0.96	2.09
MSCI_EM	Pre-reform (2004–2013)	1.97	1.91	0.60	0.92	3.57
SP500	Pre-reform (2004–2013)	2.51	2.43	0.40	1.66	3.39
TOPIX	Pre-reform (2004–2013)	1.41	1.29	0.39	0.88	2.23
KOSPI	Reform era (2014–2022)	1.02	1.03	0.12	0.71	1.31
MSCI_EM	Reform era (2014–2022)	1.59	1.55	0.20	1.24	2.08
SP500	Reform era (2014–2022)	3.39	3.28	0.63	2.58	4.92
TOPIX	Reform era (2014–2022)	1.29	1.28	0.10	1.03	1.48
KOSPI	Post-TSE (2023–2024)	0.93	0.94	0.04	0.83	1.00
MSCI_EM	Post-TSE (2023–2024)	1.66	1.66	0.10	1.50	1.91
SP500	Post-TSE (2023–2024)	4.51	4.47	0.43	3.91	5.25
TOPIX	Post-TSE (2023–2024)	1.36	1.35	0.10	1.15	1.53

3 The Governance Channel: Chaebols, Tunneling, and Self-Dealing

3.1 Chaebol Ownership and Tunneling

The structural foundation of the Korea Discount lies in Korea’s chaebol system—the family-controlled conglomerates that dominate the economy. Mapping chaebol formation reveals that controlling families used “central firms” to acquire low-profitability entities through pyramidal structures, and these central firms traded at a discount that reflected shareholders’ anticipation of value-destroying acquisitions [Almeida et al., 2011].

The scale of tunneling is substantial: when a chaebol-affiliated firm made an acquisition, its stock price fell on average while the controlling shareholder benefited through value transfers to other group firms [Bae et al., 2002]. Business group-affiliated firms also made systematically larger charitable donations, and these donations were coordinated to tunnel resources from public affiliates (where families held lower cash flow rights) to private ones (where they held higher stakes) [Kim et al., 2019].

Korea’s tax regime amplifies the tunneling incentive. South Korea imposes one of the highest statutory inheritance tax rates in the OECD—up to 60% for controlling stakes in large firms—and taxes dividends as ordinary income at marginal rates up to 45%. For controlling families whose wealth sits almost entirely in group equity, a higher share price directly raises the succession-tax bill, which creates a rational incentive to suppress valuations through low payouts, inter-affiliate transfers, and outright share-price discouragement. The tax structure makes tunneling not just opportunistic but privately optimal: keeping public-firm valuations depressed minimizes both the fiscal cost of generational succession and the risk of losing control to a hostile acquirer.

3.2 Natural Experiment Evidence

Korea’s 1999 reform, which imposed stricter board requirements on large firms, provides a strong source of causal evidence. Event studies show that large firms whose controllers had the strongest incentives to tunnel earned large positive abnormal returns at the announcement, and panel regressions confirm that better governance moderated the negative effect of related-party transactions on firm value and tightened the link between firm profitability and industry profitability—both consistent with reduced tunneling [Black et al., 2015].

Concentrated ownership also distorts the broader governance environment. Among chaebol-affiliated firms, only shareholder rights protection retains explanatory power for dividend payouts; board effectiveness, audit competency, and disclosure transparency all lose independent influence once ownership structure is controlled for [Njoku et al., 2026].

A second distinctive feature of chaebol conglomerates is their designated holding companies. Legally designated holding companies trade at significant P/B discounts relative to both operating companies and their own fundamental values—a phenomenon unique to Korea and absent from Japan and the US [박진 et al., 2019]. Cross-shareholding voting restrictions can also exert positive pressure on capital markets by exposing holding companies to boardroom coups and inducing revaluation [박진재, 2025]. However, this is a defensive tactic, not a fundamental governance improvement. Court rulings that weakened supermajority anti-takeover provisions show that firms with such provisions outperformed, which supports their value-enhancing role when they are not abused for entrenchment [Kim and Han, 2022].

4 The Growth vs. Governance Debate

The tunneling and self-dealing evidence in Section 3 makes a strong case for governance as the primary driver of the discount, but a strand of the cross-sectional literature seems to push the other way.

Cross-sectional tests find that formal corporate governance scores bear *no* significant

relationship to PBR. Stagnant growth variables dominate instead: low R&D intensity, high tangible-asset intensity, and firm maturity all correlate strongly with low PBR, and higher shareholder payouts paradoxically track *lower* PBR [양철원 et al., 2025]. Large manufacturers show the same pattern—dividend expansion has weak or negative effects on PBR, and R&D investment is the more significant predictor [이정환, 2025]. Across 58 markets from 2001 to 2018, Korea’s formal shareholder rights scores are not distinctively low. What sets Korea apart is low *value relevance*: profitability and growth get priced in far less aggressively than in comparable markets (51st of 58 countries), suggesting a short-term investment culture that keeps long-term expectations from being capitalized [김현석 et al., 2025].

These findings are striking, but they test the wrong thing. The expropriation channel operates through the wedge between controlling families’ voting rights and their economic stake—not through the board-composition and disclosure indices that governance scores measure. A chaebol can score perfectly fine on formal metrics while running pyramidal structures that divert profits from public affiliates to private ones [Almeida et al., 2011]. Cutting family ownership concentration shrinks this wedge directly: as controlling shareholders capture a smaller share of private benefits, more earnings flow to minority shareholders, and P/B rises. That is a governance mechanism—a drop in expropriation risk—and index scores are structurally ill-equipped to detect it. The two channels plausibly reinforce each other. Controlling shareholders may prefer low-risk, tunnelable cash flows over long-horizon R&D spending, so governance-driven expropriation shows up empirically as a growth deficit; low value relevance then dulls the market penalty for value-destroying acquisitions, which entrenches the cycle further. Direct causal estimation of this feedback loop is hard given the endogeneity, but the descriptive spread patterns in Section 6—which show spread widening lining up with enforceable reform milestones rather than with shifts in growth fundamentals—are consistent with governance as the deeper cause.

5 Institutional Stewardship: Promises and Limits

5.1 NPS Activism

Korea’s first policy response leveraged the National Pension Service (NPS) as an activist institutional shareholder. However, markets did not react to NPS “Vote No” announcements, a result inconsistent with developed-market activism, though firms that subsequently improved internal governance showed higher valuations [Kim et al., 2014]. NPS shareholding improved ESG performance and financial outcomes, with ESG serving as the primary transmission channel [Kim et al., 2022]. NPS ESG engagement disclosures also coincided with significant firm-value gains, and the effect peaked at firms with the weakest internal governance—a sign that institutional activism substituted for, rather than complemented, internal governance [Lee and Nam, 2026].

5.2 Stewardship Code and Foreign Investors

Korea’s 2016 Stewardship Code also asked institutional investors to adopt principles of responsible engagement—voting actively on shareholder resolutions, disclosing conflicts of interest, and monitoring investee companies—with the goal of improving corporate governance through investor pressure rather than legislative mandate. Stewardship Code adoption correlates positively with earnings quality, but multivariate regressions fail to establish statistical significance [박성환 et al., 2021]. The broader challenge: Korea’s formal governance scores do not sit distinctively lower than those of its peers, so the problem is enforcement credibility, not the norms on paper [김현석 et al., 2025].

Foreign investors push firm-specific information into stock prices more effectively than domestic institutions do [Kim and Yi, 2015]. Foreign ownership also narrows growth disparities through asymmetric discipline, correcting over-investment at over-growing firms and pushing under-growing ones toward profitable management. So governance reforms that improve market accessibility should significantly amplify foreign investor discipline [주병철, 2026].

6 Reform Benchmarks: Japan’s Arc and Korea’s Voluntary Response

6.1 Japan’s Staged Governance Trajectory

Japan faced a structurally similar valuation discount through the 2000s and 2010s, which researchers blamed on cross-shareholding (*keiretsu*), weak board independence, and low dividend payouts. The government responded with three reforms escalating enforcement: (i) the Stewardship Code (February 2014), requiring institutional governance engagement; (ii) the Corporate Governance Code (June 2015), mandating board composition and disclosure standards; (iii) the TSE P/B Reform Request (March 2023), asking Prime Market firms below $1.0\times$ book value to disclose capital efficiency shortfalls and improvement plans—a comply-or-explain mandate: the TSE published monthly scorecards naming non-responsive firms, institutional investors used the lists in stewardship voting, and the Exchange signaled that compliance records would inform future market-classification reviews, producing near-universal engagement even without binding targets; and (iv) the TSE P/B Mandate (January 2025), requiring Prime Market firms below $1.0\times$ book value to submit binding, multi-year capital efficiency improvement plans with specific quantitative targets under threat of automatic demotion to the Standard Market.

6.2 Korea’s Value-Up Program

Korea’s 2024 Corporate Value-Up Program mirrors Japan’s reform arc in aspiration but not in enforcement. Most listed companies ignored the voluntary guidelines, and the KOSPI closed weaker in 2024—the opposite outcome from Japan’s experience following its 2023 TSE reform request. Evaluations of the program found low participation and weak market responses [이진효, 2025]. Direct market evidence, by contrast, shows that *legislative* reform shifts expectations: the 2025 Commercial Act amendment (which expanded direc-

tors’ fiduciary duties to shareholders) produced significantly positive abnormal returns for high-book-to-market firms. Firms with high controlling-shareholder ownership showed no significant reaction, which suggests that markets expected the reform to bite hardest where expropriation risk was highest [강나라 and 김희주, 2026].

6.3 Empirical Evidence: Japan Reform Benchmark

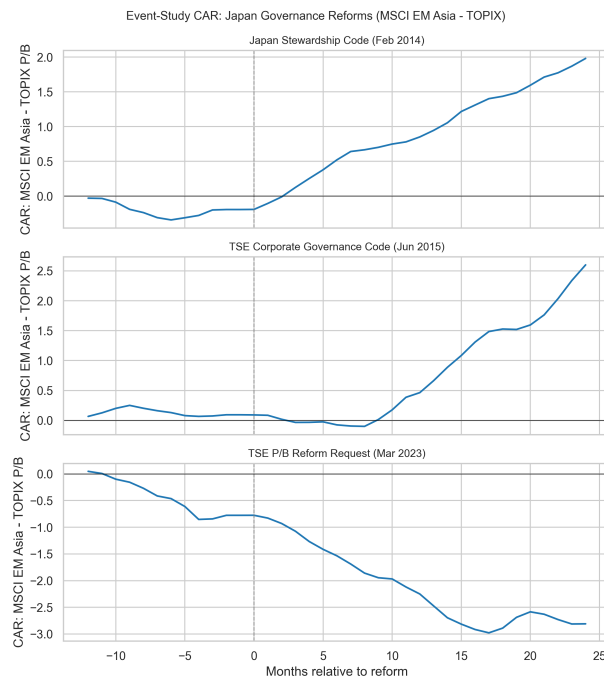
We run stacked event studies [Cengiz et al., 2019] around Japan’s three reform dates, using both a KOSPI–TOPIX spread (secondary) and an MSCI EM Asia–TOPIX spread (primary, which insulates the results from Japan-specific dynamics). Figure 2 presents the results. The cumulative abnormal spread (CAR) estimates below are descriptive: each one accumulates the deviation of the actual spread from a pre-event linear trend extrapolation. We omit standard errors because the saturated cohort $\times$ relative-time design renders robust inference undefined, so the figures illustrate the pattern of spread movements around each milestone rather than pin down causation. We cannot rule out confounders contemporaneous with each reform event, including Japan’s broader macro re-rating in 2023–2025.

2014 Stewardship Code. The MSCI EM Asia–TOPIX CAR reaches +1.60 at $\tau = 20$ —no sustained TOPIX re-rating. Korea did not underperform relative to trend.

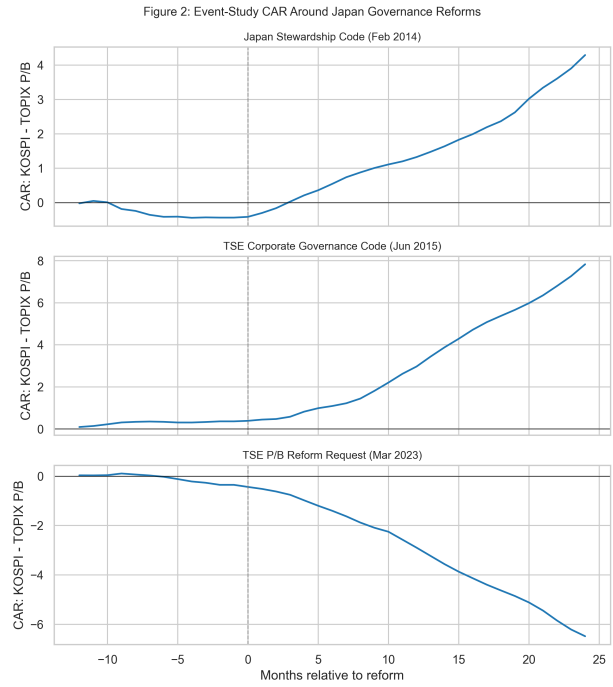
2015 Corporate Governance Code. Qualitatively identical: KOSPI–TOPIX CAR +7.83 at $\tau = 24$; Asia CAR +1.60 at $\tau = 20$. Neither soft-law event produced a sustained shift in the spread.

2023 TSE P/B Reform Request. The spread pattern in the months following this event is markedly different. The KOSPI–TOPIX cumulative spread declines to -6.48 at $\tau = 24$; the MSCI EM Asia–TOPIX cumulative spread reaches -2.58 at $\tau = 20$ —the largest spread movement in the sample.

Figure 3 extends the window through Japan’s 2025 binding mandate. Here the descriptive pattern reverses: the KOSPI–TOPIX cumulative spread closes sharply, with KOSPI’s P/B rising from $0.83\times$ in January 2025 to $1.91\times$ by April 2026 against TOPIX’s $1.44\times \rightarrow 1.79\times$



(a) MSCI EM Asia–TOPIX



(b) KOSPI–TOPIX

Figure 2: Japan governance reform event studies. The 2023 TSE P/B reform request precedes a -6.48 P/B point KOSPI–TOPIX cumulative spread, while the 2014 and 2015 soft codes produce no sustained spread shift.

over the same window. This narrowing reflects the global semiconductor up-cycle—Samsung Electronics and SK Hynix together account for roughly 30% of KOSPI weight, and Taiwan re-rated similarly via TSMC—rather than any domestic Korean governance change. The binding-mandate window is therefore uninformative about whether Japan’s enforcement step alone widens the spread; the cycle confound dominates the signal. One qualifier cuts the other way: TOPIX itself broke through to record highs in 2025–2026, punching past levels last seen at Japan’s 1989 bubble peak and finally closing out the lost decades—so the index continued to re-rate in absolute terms even as KOSPI re-rated faster on semiconductor strength.

6.4 Empirical Evidence: Korea’s Value-Up Program

Figure 4 presents the Korea Value-Up event study. Both spreads—MSCI EM Asia minus KOSPI and TOPIX minus KOSPI—are persistently positive at all three milestones, meaning both benchmarks outperformed KOSPI throughout. For the program launch (February 2024): MSCI EM Asia–KOSPI CAR +2.18 at $\tau = 12$ and +4.14 at $\tau = 20$. For the guidelines unveiling (May 2024): +1.80 at $\tau = 12$. For the implementation push (August 2024): +2.12 at $\tau = 12$. Korea’s voluntary program coincided with no improvement in relative valuation.

7 Geopolitical Risk and Other Explanations

North Korean geopolitical risk is the most popular lay explanation for the Korea Discount, but the empirical record gives it only limited support. The theoretical intuition—that proximity to an unpredictable nuclear-armed state raises the equity risk premium and depresses valuations—holds up in isolation. In practice, North Korean provocations repeat too predictably and bite too little on the macroeconomy for markets to price them as incremental uncertainty. Cross-country studies that directly control for geopolitical risk find the discount survives intact [김현석, 2026]: markets appear to treat North Korean threats as a chronic, long-since-priced background condition. When researchers decompose cross-country discount

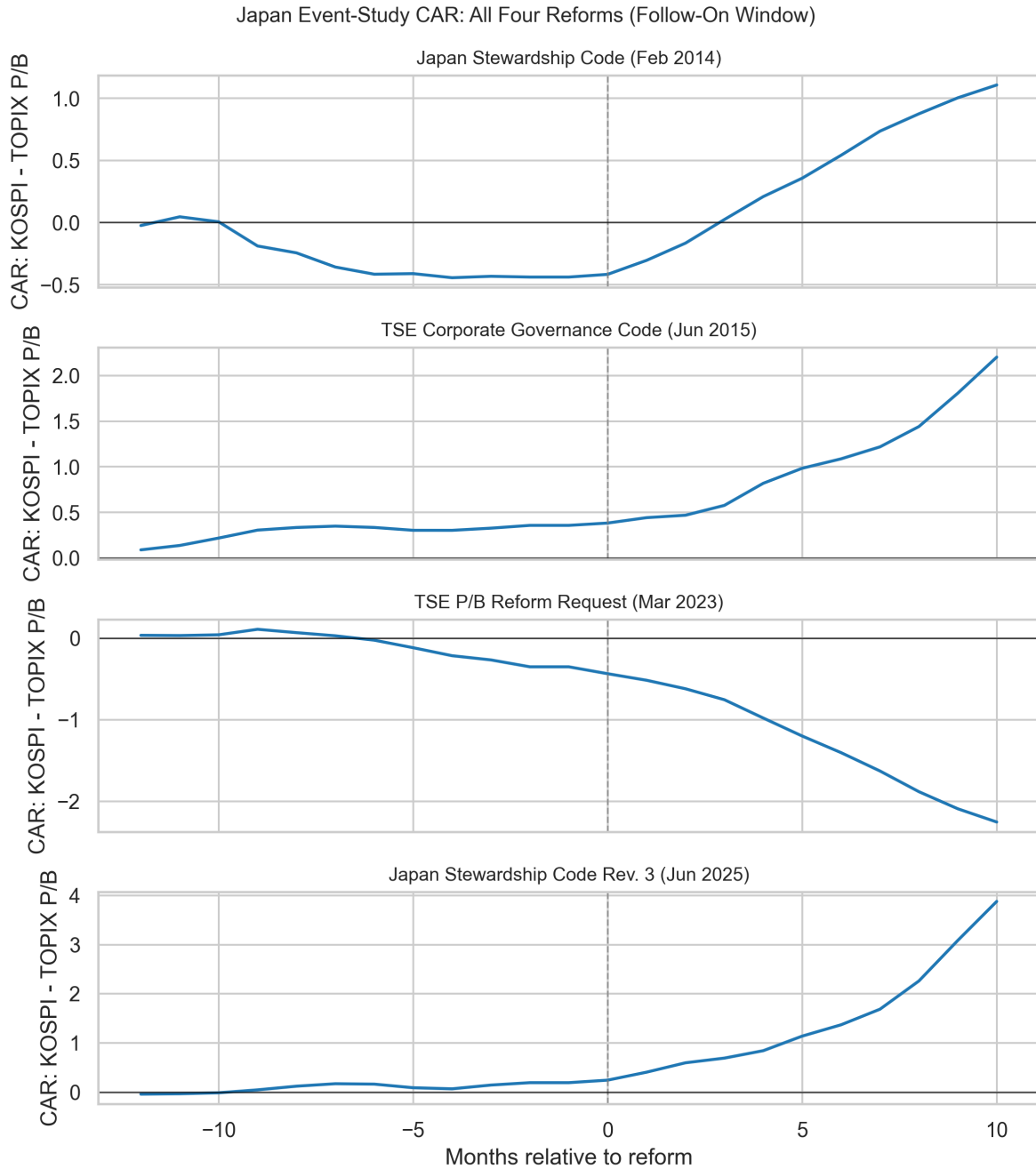


Figure 3: Japan follow-on event study, extended through the 2025 binding-mandate window. The KOSPI–TOPIX cumulative spread reverses direction and narrows sharply, but the move is driven by the Korea–Taiwan semiconductor up-cycle rather than by Japan’s enforcement step, leaving the binding-mandate window uninformative in isolation.

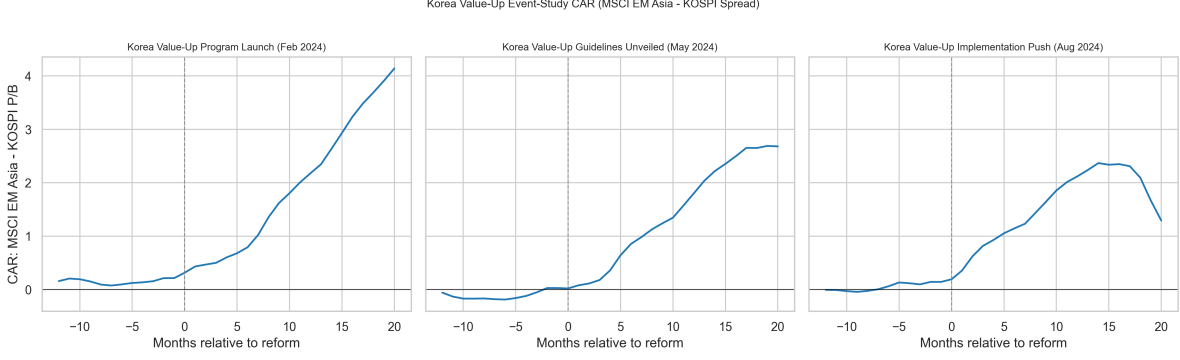


Figure 4: Korea Value-Up event study (MSCI EM Asia–KOSPI). All three milestones precede persistently positive cumulative spreads, with MSCI EM Asia outperforming KOSPI throughout.

differentials, Korea’s economic policy uncertainty index—not military threat—carries the explanatory power [김현석 et al., 2025].

7.1 Geopolitical Risk Falsification

To formalize the test, we regress KOSPI P/B on a Korea GPR escalation dummy (GPRC_KOR, Caldara and Iacoviello 2022, above its 75th percentile), controlling for TOPIX P/B and year fixed effects over 252 monthly observations (January 2004–December 2024). The GPR coefficient is -0.016 ($t = -0.84$, $p = 0.40$)—statistically indistinguishable from zero and economically negligible at less than one-tenth of the mean KOSPI–TOPIX spread. The specification leans toward finding an effect, since GPRC_KOR also picks up global risk-off episodes that depress Korean valuations for non-geopolitical reasons; it still finds none. Figure 5 plots the KOSPI P/B series alongside GPR escalation episodes; no systematic co-movement appears even around the most acute crises.

8 Synthesis and Policy Implications

The literature and empirical evidence suggest mitigating the Korea Discount requires enforceable reform with credible sanctions, not voluntary guidelines.

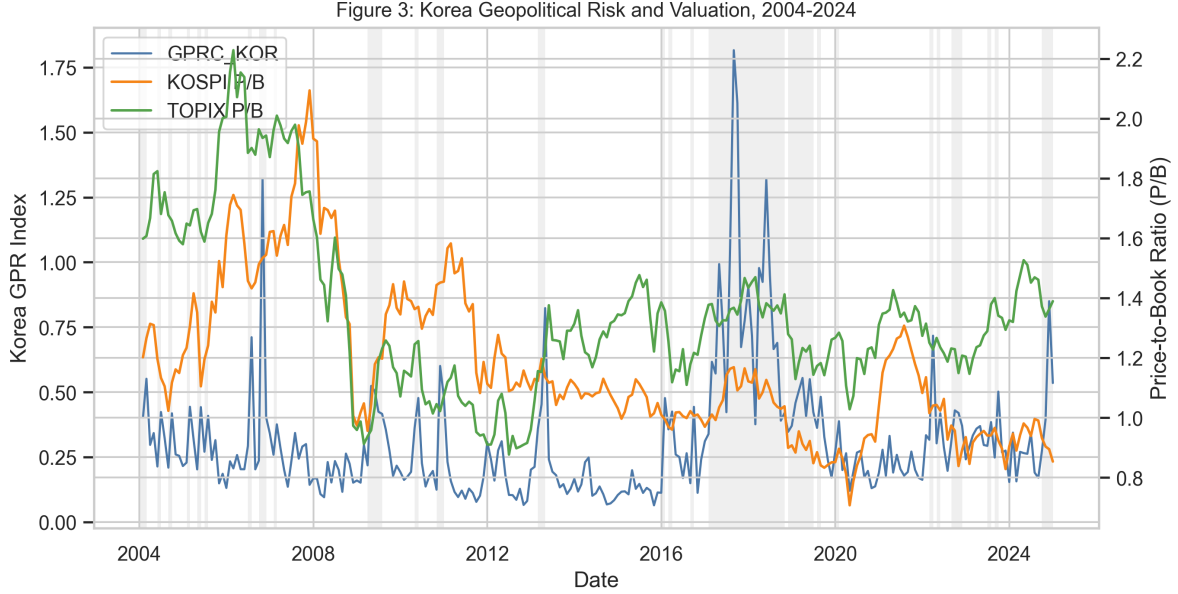


Figure 5: KOSPI P/B and North Korea geopolitical risk escalation episodes. Shaded regions mark periods when the Korea GPR index (GPRC_KOR) exceeded its 75th percentile. No systematic co-movement appears; the regression coefficient is -0.016 ($t = -0.84$, $p = 0.40$).

The central empirical pattern in this paper is the three-step escalation of Japan’s governance reforms. Japan’s 2014 and 2015 voluntary codes produced no sustained TOPIX re-rating. The 2023 TSE P/B reform request—still formally voluntary but backed by monthly public compliance scorecards and implicit reclassification pressure—coincided with a -6.48 P/B point KOSPI–TOPIX cumulative spread over 24 months. The 2025 binding mandate window, by contrast, coincided with a sharp *narrowing* of the KOSPI–TOPIX spread, but this reflects the Korea–Taiwan semiconductor up-cycle’s outsized boost to KOSPI rather than any domestic Korean reform (Figure 3); the binding-mandate step is therefore uninformative in isolation. Across the three earlier steps, each move toward binding enforcement still tracked a larger spread movement in the data. Under Korea’s 2024 voluntary Value-Up program, MSCI EM Asia outperformed KOSPI at all three milestones, with persistently positive MSCI EM Asia–KOSPI cumulative spreads (Figure 4).

Institutional stewardship through the NPS has produced conditional improvements [Kim et al., 2022, Lee and Nam, 2026], but markets did not react to NPS vote-no announcements

[Kim et al., 2014] and stewardship code adoption failed to reach statistical significance in multivariate tests [박성환 et al., 2021]. (This is consistent with the broader pattern that voluntary engagement lacks enforcement credibility without structural reform.) Foreign investor discipline offers a complementary channel [Kim and Yi, 2015, 주병철, 2026], but its efficacy depends on market accessibility reforms that increase foreign ownership. The geopolitical risk alternative also has no credibility: the Korea GPR coefficient is -0.016 ($t = -0.84$, $p = 0.40$), economically negligible and statistically indistinguishable from zero.

Korea’s 2025 Commercial Act amendment, which expanded directors’ fiduciary duties to shareholders, produced significant positive abnormal returns for high-discount firms [강나라 and 김희주, 2026]—validating the hard-law mechanism and marking a genuine step forward. But its fiduciary duty expansion bites through litigation, whereas Japan’s TSE mandate bites at the exchange level. Two confounds complicate any read of the current spread. First, the global semiconductor boom drove outsized equity gains in both Korea (SK Hynix, Samsung Electronics) and Taiwan (TSMC), which compresses the KOSPI gap to peers through a cyclical channel that has nothing to do with governance reform; readers should weigh any near-term Korea re-rating against that caveat. Second, TOPIX has hit all-time highs in 2025-2026, punching through levels not seen since Japan’s 1989 bubble peak and finally closing out the lost decades. The reform sequence documented here coincides with TOPIX’s historic recovery, which fits the spread patterns in the event studies, but the same coincidence highlights the identification challenge: TOPIX’s rise reflects a tangle of governance reform, yen depreciation, foreign capital reentry, and domestic demand recovery that the descriptive spread estimates alone cannot disentangle. The picture will sharpen as the semiconductor cycle matures and we observe whether Korea’s 2025 Commercial Act delivers a comparable re-rating.

References

Heitor Almeida, Sang Yong Park, Marti G. Subrahmanyam, and Daniel Wolfenzon. The structure and formation of business groups: Evidence from Korean chaebols. *Journal of*

- Financial Economics*, 99(2):447–475, 2011.
- Kee-Hong Bae, Jun-Koo Kang, and Jin-Mo Kim. Tunneling or value added? Evidence from mergers by Korean business groups. *The Journal of Finance*, 57(6):2695–2740, 2002.
- Bernard S. Black, Woochan Kim, Hasung Jang, and Kyung-Suh Park. How corporate governance affects firm value? Evidence on a self-dealing channel from a natural experiment in Korea. *Journal of Banking & Finance*, 51:131–150, 2015.
- Dario Caldara and Matteo Iacoviello. Measuring geopolitical risk. *American Economic Review*, 112(4):1194–1225, 2022.
- Doruk Cengiz, Arindrajit Dube, Attila Lindner, and Ben Zipperer. The effect of minimum wages on low-wage jobs. *The Quarterly Journal of Economics*, 134(3):1405–1454, 2019.
- Byungki Kim, Jinhan Pae, and Choong-Yuel Yoo. Business groups and tunneling: Evidence from corporate charitable contributions by Korean companies. *Journal of Business Ethics*, 154:643–666, 2019.
- Hyeong Joon Kim and Seung Hun Han. Supermajority provisions and shareholders wealth: Evidence from South Korea’s natural experiment. *Corporate Governance: An International Review*, 30:311–334, 2022.
- Jeong-Bon Kim and Cheong H. Yi. Foreign versus domestic institutional investors in emerging markets: Who contributes more to firm-specific information flow? *China Journal of Accounting Research*, 8:1–23, 2015.
- Jootae Kim, Sungjin Son, and Ick Jin. The effects of shareholding of the national pension fund on environmental, social, governance, and financial performance: Evidence from the Korean manufacturing industry. *Sustainability*, 14(18), 2022.
- Sungmin Kim, Hee Sub Byun, and Eun Jung Lee. Does ‘Vote No’ change corporate governance and firm value? Evidence from the shareholder activism of the Korean national pension service. *Emerging Markets Finance and Trade*, 50(5):42–59, 2014.
- Jihyun Lee and Doowoo Nam. ESG shareholder engagement and firm value: Evidence from Korea national pension service. *Applied Economics*, 2026.
- Enyeribe Njoku et al. Corporate governance and dividend policy under concentrated ownership: Evidence from post-reform Korea. *Journal of Risk and Financial Management*, 19(2), 2026.
- 강나라 and 김희주. 상법 개정의 기대감과 한국 주식시장의 반응: “코리아 디스카운트” 완화 가능성. *한국국제회계학회지*, 127, 2026. [Expectations of Commercial Act Amendment and Market Reactions: The Potential Mitigation of the Korea Discount].
- 김현석. 한국 증시의 장기적 저평가 현상과 주가배수 장기변화에 관한 국제 비교 연구. *재무관리연구*, 43(1), 2026. [Long-term Undervaluation of the Korean Stock Market and International Comparative Study on Long-term Changes in Stock Price Multiples].

- 김현석, 서정원, and 최서연. 코리아 디스카운트의 잠재적 원인들에 대한 실증분석. *한국증권학회지*, 54(4):327–370, 2025. [Empirical Analysis on the Potential Causes of the Korea Discount].
- 박성환, 강평경, 정태섭, and 박재형. 기관투자자의 스튜어드십 코드 도입과 기업의 재무보고 품질: 이익의 질을 중심으로. *회계저널*, 30(2):141–181, 2021. [Adoption of the Stewardship Code by Institutional Investors and Financial Reporting Quality: Focusing on Earnings Quality].
- 박진, 서정원, and 강신우. 한국주식시장의 지주회사 디스카운트. *한국증권학회지*, 48(6): 755–788, 2019. [The Holding Company Discount in Korea's Stock Market].
- 박진재. 상호주를 통한 경영권 방어 — 전략의 유효성, 코리아 디스카운트 해소 가능성을 중심으로. *상사법연구*, 43(4), 2025. [Defense of Management Control through Cross-Shareholdings: Focusing on Strategy Validity and Possibility of Resolving the Korea Discount].
- 양철원, 왕수봉, and 최재원. 무엇이 과연 코리아디스카운트와 PBR을 설명하는가? 성장동력, 주주환원, 기업지배 가설의 비교. *한국증권학회지*, 54(5):371–394, 2025. [What Really Explains the Korea Discount and PBR? A Comparison of the Growth Potential, Shareholder Payout, and Governance Hypotheses].
- 이정환. 기업의 자본배분관점에서 코리아 디스카운트 분석: PBR 변화의 결정요인을 중심으로. *한국경제분석*, 31(3), 2025. [Analysis of the Korea Discount from a Corporate Capital Allocation Perspective: Focusing on Determinants of PBR Changes].
- 이진효. 기업 밸류업 프로그램의 실효성에 관한 연구. *법학평론*, 37(3), 2025. [A Study on the Effectiveness of the Corporate Value-Up Program].
- 정태진 et al. 코리아 디스카운트와 1 이상의 장부가치비율. *한국회계학회지*, 31(6), 2022. [Accounting for the Korea Discount with Book-to-Market Ratios above One].
- 주병철. 외국인 투자자의 비대칭적 규율과 기업 밸류업 — 코리아 디스카운트 기업의 성장 불일치 해소를 중심으로. *경영과 정보연구*, 45(1), 2026. [Asymmetric Discipline by Foreign Investors and Corporate Value-Up: Focusing on Resolving Growth Disparity of Korea Discount Firms].

"I pledge my honor that I have not violated the honor code during this assignment."

Daniel Jung